



3DIMENSION CAPITAL SERVICES LIMITED

SEBI Registered (Category - I) Merchant Banker
SEBI Registration No: INAC00012524

CSTIN: 27AAC04689125
CIN: U68230KA2001PLC012981

OUR PATH YOUR SUCCESS

Dated: June 03, 2024.

To

Everestat Jewell Private Limited

No 6/1, L, Museum Road, Richmond Town, Mahatma Gandhi Road,

Bangalore 560001, Karnataka, India

Dear Sirs,

Subject: Report on valuation of fair value of Equity Shares of Everestat Jewell Private Limited.

1. Purpose

We have been engaged by the management of Everestat Jewell Private Limited (CIN: U68100KA2004PTC180619), a company incorporated under the provisions of the Companies Act, 2013 and having its registered office at No 6/1, L, Museum Road, Richmond Town, Mahatma Gandhi Road, Bangalore 560001, Karnataka, India (hereinafter referred to as "EJP" or "the Company") for valuation of its Equity Shares as on March 31, 2024 ("Valuation Date" or "Valuation Cut-off Date").

Based on the discussion with the management, we understood that, our fair valuation report is required for compliance of Foreign Exchange Management (Non-debt Instruments) Rules, 2019 ("FEMA Rules") with respect to proposed transfer of existing Equity Shares of EJP from existing resident shareholders ("Resident Sellers") to Sapphire Industrial Park Private Limited, an Indian Company incorporated under the provisions of the Companies Act, 2013 and deemed as Foreign Owned or Controlled Company under FEMA Rules ("FOCC Entity") (hereinafter referred to as "SIPP" or "Buyer").

The valuation has been done based using internationally acceptable valuation methodologies on pro's length basis.

This report may be filed with the Reserve Bank of India, if required.





II. About Dimension Capital Services Limited:

Dimension Capital Services Limited (hereinafter referred to as "DCSL") is a Public Limited Company incorporated under the Companies Act, 2013 with the Registrar of Companies, NCT of Delhi and Haryana. Our Company is a Category I Merchant Banker registered with Securities and Exchange Board of India (SEBI), Member with Registration No. MR/AN0000017513.

III. Background information about Everest Design Private Limited:

Everest Design Private Limited was incorporated as a private limited company on March 21, 2024 under the provisions of the Companies Act, 2013. The CIN of EDP is U68100KA2024PT1100479. As per its memorandum of association, EDP is intended to carry on the following business:

"To carry on or take or otherwise the business of purchase, sale, development, trading, leasing, promotion, development, construction, operation, repair, operation and maintenance, renting of and dealing in all types of buildings, complexes, warehouses and structures, both residential and commercial, entertainment centres, resorts, gated communities, multiplexes and shopping malls."

EDP is a newly incorporated company. Based on the discussion with the management, we understand that, as on date, EDP is not carrying on any business activities. We further understand that, EDP will commence its business activities in coming months post raising fresh funds.

As on Valuation Date, paid up share capital of EDP is INR 1000 divided into 100 Equity Shares of INR 10 each.

IV. Source of information:

For the purpose of undertaking this valuation exercise, we have relied on the following sources of information from the management of the Company:

- Brief write up about EDP.
- List of Shareholding of EDP as on Valuation Date.
- Management verified provisional financials of EDP for the period ended March 31, 2024.





• MOA, AOA and Certificate of Incorporation of E2PL

The Client/Company has been provided with the opportunity to review the draft report as a part of the standard practice to make sure that factual inaccuracies/ omissions are avoided in the final report.

W. Approach Considered in our Value Analysis:

General Principle for Valuation

There is no simple definition of the term 'value' that is suitable for all purposes or at all times. The value of a particular asset may vary according to different valuation methodologies that are adopted to ascertain the value for a specific purpose. Valuation is not a precise science and the conclusions arrived at in many cases will be subjective and dependent upon the exercise of individual judgment.

Regulatory requirement w.r.t Valuation Methodology

In terms of Rule 23 of FEMA Rules, in case of an Indian entity which has received indirect foreign investment shall comply with the entry norms, sectoral caps, pricing guidelines and other attendant conditions as applicable for foreign investment. Accordingly, pricing guidelines applicable to direct foreign investments is equally applicable to indirect foreign investments.

Pricing Guidelines under FEMA Rules

In terms of Rule 23 of FEMA Rules, in case of an unlisted Indian company, the price of capital instruments of an Indian company transferred by a person resident in India to a person resident outside India shall not be less than the valuation of capital instruments done as per any internationally accepted pricing methodology for valuation on an arm's length basis date certified by a Chartered Accountant or a SEBI-registered Merchant Banker or a practicing Cost Accountant, in case of an unlisted Indian Company.

In terms of above mentioned pricing guidelines, any appropriate valuation methodology can be used for arriving the fair valuation for the purpose of proposed transfer of Equity Shares of E2PL. Therefore, we have considered the internationally acceptable methods for valuing the Equity Shares of E2PL.





Selection of Valuation Methodology

As detailed elsewhere in this report, as per Valuation Data, ETP is not carrying on any commercial business activities. Post raising fresh funds, it is proposing to carry on the business activities in coming months.

Since ETP is not carrying on any commercial business activities as per Data, therefore, at this stage, we have considered the Net Asset Value (NAV) method for arriving the value of Equity Shares of ETP.

VI. Basis for arriving at Fair Value of Equity Shares of ETP: Valuation Based on NAV Method

The Net Asset Value (NAV) method attempts to measure the value of the net assets of the Company against each share. It is computed by taking the net value of the Company's assets, subtracting from it the amount of outside liabilities and preferred shareholders' claims, if any, and dividing the remainder amongst the number of Equity Shares outstanding as on the date of valuation.

For arriving the value per Equity Share in terms of NAV Method, we have considered management certified provisional financials of ETP for the period ended March 31, 2021.

A summary calculation of NAV per Equity Share of ETP based on management certified provisional financials of ETP for the period ended March 31, 2021 is as follows:

Particulars	Amount in INR, except number of Equity Shares
Total value of the Assets (A)	1.252
Less: Total Outside Liabilities (B)	0.000
Net Asset Value of the Company (C=A-B)	(1.252)
No. of outstanding Equity Shares as on Valuation Date (D see Value of INR 10 each) (in Nos) (E)	100
Value per Equity share in INR (Based on NAV method) (F=C/E)	(11.000)

The detailed valuation workings as per NAV Method is enclosed as Annexure-A.





VII. Valuation Conclusion

We have formed an opinion on the fair value of Equity Shares of ETP, based on the information provided by the management of the Company and economic/methods detailed in this report. We are of the opinion that, as on Valuation Date, fair value of one Equity Share (having face value of INR 10 each) of ETP is INR (51.49) (Negative Indian Rupees Fifty-One and Four Eight only).

The valuation is subject to the information as made available to us by the management of ETP, and no specific audit has been carried on the same.

VIII. Restricted Audiences Clause

This report and the information contained herein are absolutely confidential and are intended for the use of Board of Directors of the Company, its existing shareholders and Buyer for regulatory compliances detailed in the first para of this report. It should not be copied, disclosed, circulated, quoted or referred to, either in whole or in part, in correspondence or in discussion with any other person except as mentioned above without our written consent, except as may be required under applicable laws or by any regulatory authorities. In the event, the Company, its shareholders, and Buyer extend the use of the report beyond the purpose mentioned earlier in this report, with or without our consent, we will not accept any responsibility to any other party (including but not limited to any other regulator) to whom this report may be shown or who may acquire a copy of the report.

IX. Disclaimers/Limitations on the Valuation of Equity Shares and of ETP

This report is subject to the scope of limitations detailed hereinafter. As such the report is to be read in totality and not in parts. This report has been prepared solely for the purpose set out in this report and should not be made available to any other person, distributed, published or reproduced (in part or otherwise) in any other document whatsoever, without our written consent save and except for the limited purpose of this report.

Our value analysis is based on the information made available to us by the management of ETP and the information obtained by us from public domain as mentioned in the report. Any subsequent changes/modifications/revisions (either positive or negative) to the financial parameters and other information provided to us may alter the result of value analysis set out in this report, positively or negatively.





It may be noted that in carrying out our work we have relied on the integrity of the information provided to us by the management of IEP, other than verifying the consistency of such information, we have not sought to carry out an independent verification thereof.

We have not carried out any independent verification of the accuracy and completeness of all information as stated above. We have not reviewed any other documents of IEP other than those stated above. We have not made any independent verification of the physical assets of IEP and accept no responsibility for the same.

It should be noted that for the purpose of determining fair value of shares of IEP, as on Valuation Date, we have not considered the impact of any events on the valuation of IEP, which have occurred post the date of the valuation except mentioned in this report. We understood that the management of IEP, during our discussions with them, would have drawn our attention to all such information and matters, which may have had an impact on our valuation. In this report we have included all such information and matters as were received by us from the management of IEP.

This valuation report should not be regarded as a recommendation to invest in or deal in any form of securities of the IEP.

The management or related parties of the IEP and its subsidiaries/ associated group companies are prohibited from using this report other than for its sole limited purpose and not to make a copy of this report available to any party other than those required by statute for carrying out the limited purpose of this report.

No investigation of the Company's claim to title of assets has been made for the purpose of this valuation and their claim to such rights has been assumed to be valid. No consideration has been given to liens or encumbrances against the assets, beyond the lien disclosed in the accounts. Therefore, no responsibility is assumed for matters of a legal nature. The report is not, nor should it be construed, as our opinion or certifying the compliance with the provisions of any law, including but not limited to, Company's Guidelines/ Notifications/ Rules/ Regulations etc. issued by the Reserve Bank of India, and Tax Laws related laws by IEP.





This report is not meant for meeting any other regulatory or disclosure requirements, and does not comply with any other regulatory requirements, and does not comply with any other regulatory requirements, and does not comply with any other regulatory requirements.

Notwithstanding anything contained in this report, SOCH, its directors and employees will not be liable to any party for any direct, indirect, incidental, consequential, special or exemplary damages (even if such party has been advised of the possibility of such damages) arising from any provision of this engagement.

For SOCH Capital Services Limited,

Rishabh Kapoor

Executive Vice President



Annexure A

Valuation workings of ELPs as per NAV Method

Everest Capital Private Limited		
(Valuation as on March 31, 2019)		
NAV based Value Method		
Based on management certified provisioned statements for the period ended March 31, 2019		
Particulars	IN ₹'s (except specifically stated)	
Assets		
Non-current Assets		
Fixed Assets		
Intangible Assets		
Capital Work in Progress		
Assets held for sale		
Deferred Tax Assets		
Other Non-current Assets		
Total Non-current Assets		
Current Assets		
Receivables		
Loan and Debt Investments	1,000	
Trade Receivables		
Short Term Loans and Advances		
Other current Assets		
Total Current Assets		1,000
Total Assets (A)		1,000
Liabilities		
Non-current Liabilities		
Long Term Borrowings		
Deferred Tax Liabilities (net)		
Other long term Liabilities		
Long Term Provisions		
Total Non-current Liabilities		
Current Liabilities		
Short-term Borrowings		
Trade Payables		
Other Financial Liabilities		
Other Current Liabilities	5,000	
Short Term Provisions		
Total Current Liabilities		5,000
Total Liabilities (B)		5,000
Net Assets attributable to shareholders of the Company (C) = (A-B)		(4,000)
No. of Equity Shares in issue (excluding Redeemable Preference)		100
Net Asset Value Per Share as per Valuation Date (C/D) IN ₹'s (NAV)		(40.00)

